

Nykaa Marketing Campaign Analysis

Business Problem:

Nykaa invests across multiple digital marketing channels, but lacks a centralized system to measure campaign effectiveness, optimize marketing spend, and identify high-performing customer segments. This project analyzes marketing campaign data to uncover actionable insights and support data-driven marketing decisions.

Key Objectives

- Analyze campaign performance across different marketing channels.
- Identify high-performing customer segments and campaigns.
- Measure key marketing KPIs such as Revenue, ROI, CTR, CPA, and Conversion Rate.
- Analyze customer funnel performance and seasonal trends.
- Build an interactive Power BI dashboard to support data-driven decision-making.

Business Questions:

1. Overall marketing performance?



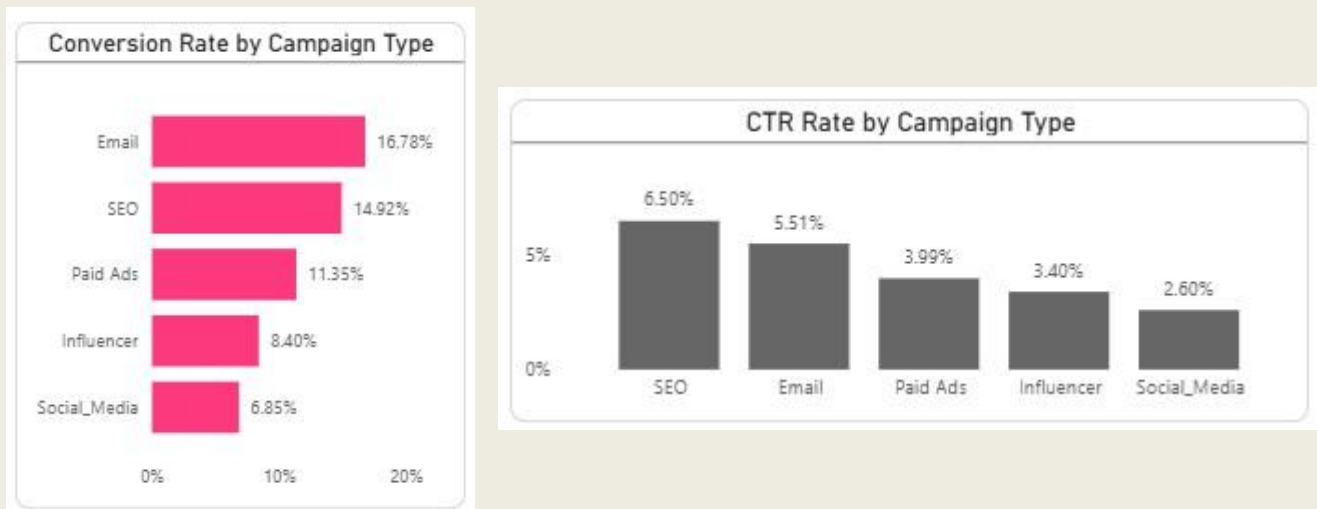
- Nykaa generated ₹1.8B revenue from ₹1.09B acquisition spend, delivering a 65.8% overall ROI and ₹714.3M profit. With 1.595M conversions at an 11.13% conversion rate, overall marketing performance is strong.
- However, further optimization of campaign and audience-level spending could improve ROI and acquisition efficiency.

2. Best-performing campaign type?



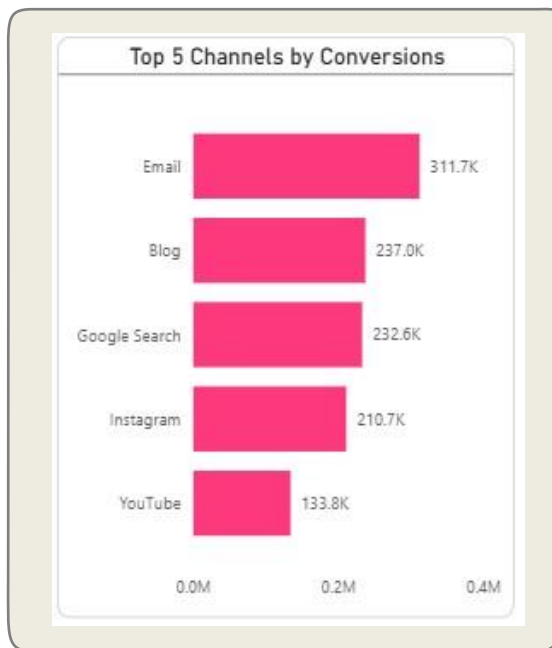
- SEO generated the highest revenue (₹531.5M) with a strong 434.4% ROI and the highest CTR (6.5%), making it the strongest campaign for revenue generation.
- Email delivered the highest ROI (578.1%) and conversion rate (16.78%), indicating superior efficiency.
- Influencer campaigns underperformed with -3.4% ROI despite the highest acquisition cost (₹380.5M)

3. Highest campaign engagement & conversion?



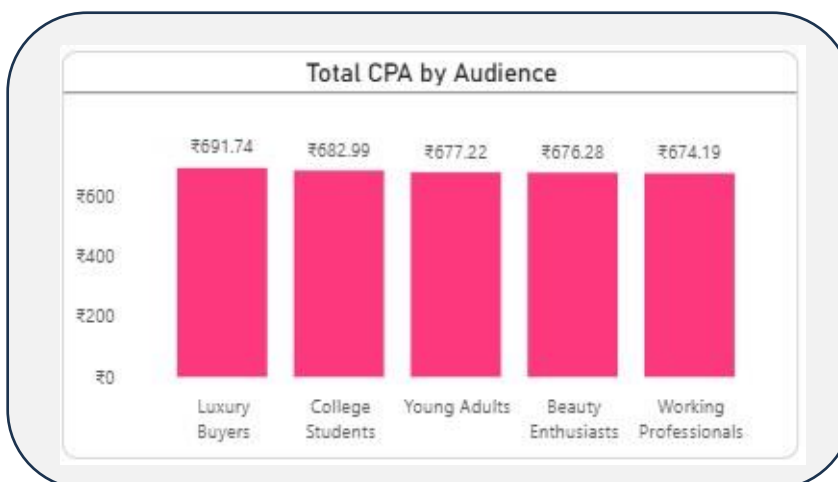
- SEO achieved the highest CTR at 6.50%, indicating the strongest customer engagement, while Email recorded the highest conversion rate at 16.78%, showing superior lead-to-customer efficiency.
- Therefore, Nykaa should leverage SEO to drive traffic and engagement while using Email to maximize conversions.

4. Best-performing marketing channel?



- Email was the top-performing channel, generating 311.7K conversions, significantly ahead of Blog (237.0K) and Google Search (232.6K).
- This indicates that Email is the strongest channel for driving conversions and should remain a key focus of Nykaa's customer acquisition strategy.

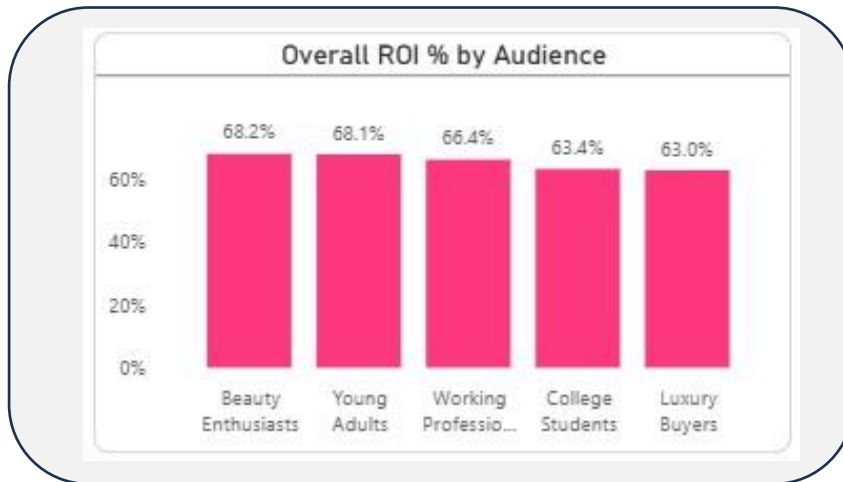
5. Most cost-efficient audience?



- Working Professionals are the most cost-efficient audience with the lowest overall CPA of ₹674.19, followed by Beauty Enthusiasts at ₹676.28.
- Luxury Buyers have the highest CPA at ₹691.74, indicating slightly higher acquisition costs.

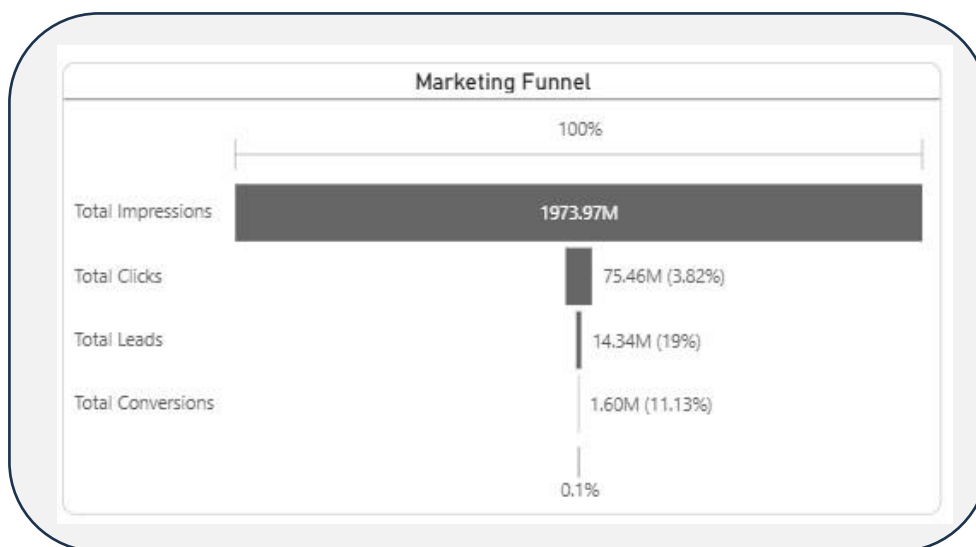
- Nykaa should prioritize Working Professionals while optimizing acquisition strategies for higher-CPA segments.

6. Highest-ROI audience?



- Beauty Enthusiasts delivered the highest overall ROI at 68.2%, closely followed by Young Adults at 68.1%.
- This indicates that Beauty Enthusiasts provide the strongest return on marketing investment and should be prioritized for targeted campaigns and budget allocation.

7. Where is the biggest funnel drop-off?



- The biggest drop-off occurs between Impressions and Clicks: 1.97B impressions generated only 75.46M clicks, resulting in a 3.82% CTR.

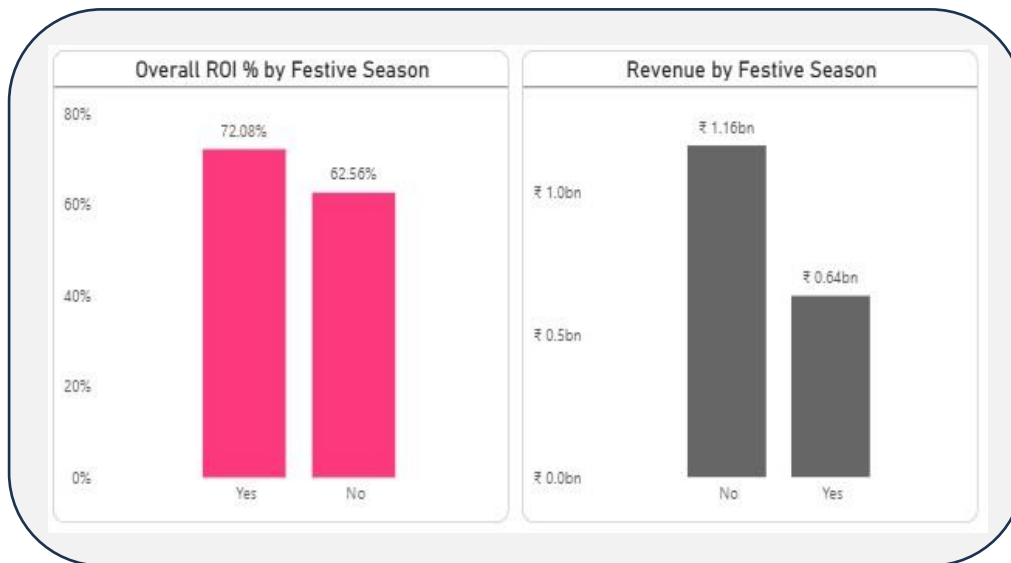
- This indicates a major opportunity to improve ad engagement through stronger creatives, targeting, and calls-to-action before focusing on later funnel stages.

8. How is revenue trending over time?



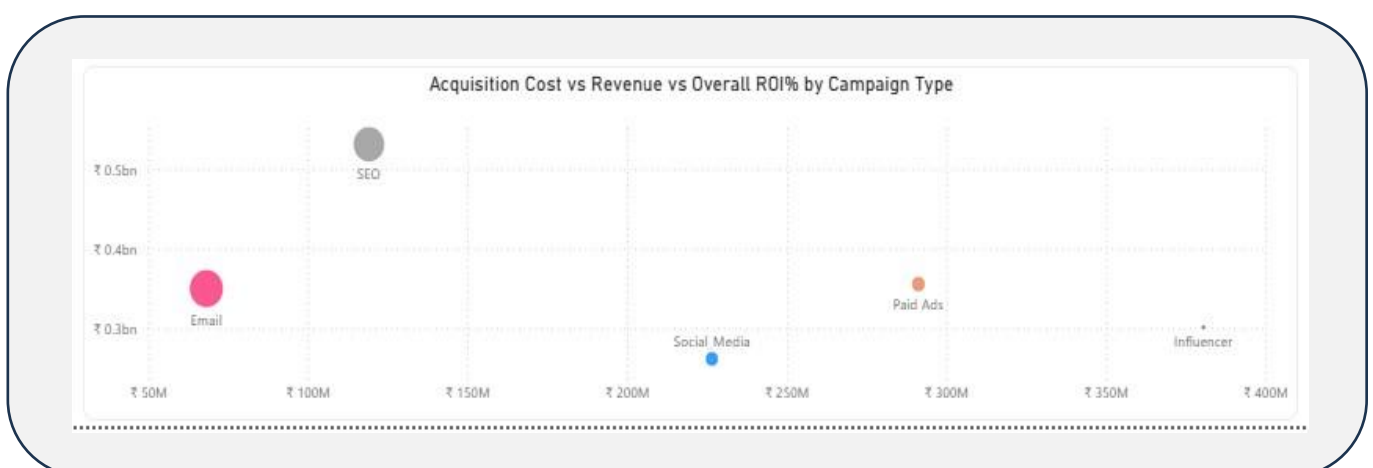
- Revenue shows a sharp year-over-year shift: 2024 revenue surged from ₹31.5M in June to ₹115.7M in July and peaked at ₹144.0M in October, while 2025 started strong at ₹119.4M in January but dropped sharply to ₹28M from July onward.
- This indicates a significant change in revenue performance after June and warrants investigation into campaign effectiveness and budget allocation.

9. Do festive campaigns perform better?



- Yes, festive campaigns delivered a higher overall ROI of 72.08% compared with 62.56% for non-festive campaigns, indicating stronger marketing efficiency during festive periods. However, non-festive campaigns generated higher revenue (₹1.16B vs ₹0.64B), suggesting greater scale outside the festive season.

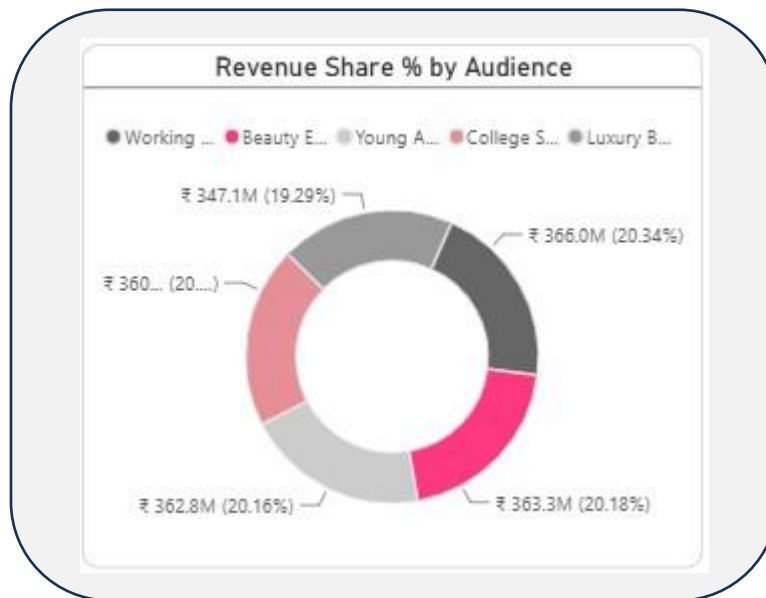
10. Which campaigns provide the best revenue vs investment?



- Email delivers the strongest return on investment, generating ₹350.0M revenue from just ₹68.2M acquisition cost with a 413.32% ROI. SEO generated the highest revenue at ₹29.5M while maintaining a strong 346.29% ROI.

- In contrast, Influencer campaigns incurred the highest cost (₹380.5M) but generated only ₹301.2M revenue, resulting in a negative ROI of -20.83%.

11. How is Revenue Distributed Across Audiences?



- Revenue is evenly distributed across all audience segments, with each contributing approximately 19–20% of total revenue.
- Working Professionals lead at 20.34%, while Luxury Buyers contribute 19.29%, indicating no single audience dominates revenue generation and highlighting a diversified customer base.

Recommendations:

1. Prioritize Email and SEO campaigns

Email delivered the highest ROI at 413.32% with the lowest acquisition cost of ₹68.2M, while SEO generated the highest revenue at ₹529.5M with a strong 346.29% ROI.

Recommendation: Increase or protect investment in Email for efficiency and SEO for revenue scale.

2. Reassess Influencer Marketing spend

Influencer campaigns spent ₹380.5M, the highest acquisition cost, but generated only ₹301.2M revenue and a -20.83% ROI.

Recommendation: Reduce or restructure influencer spending and evaluate individual influencers/campaigns before allocating additional budget.

3. Improve the Impression-to-Click stage

The funnel shows 1.97B impressions but only 75.46M clicks, resulting in a 3.82% CTR—the largest funnel drop-off.

Recommendation: Improve creatives, messaging, targeting, and CTAs to convert more impressions into clicks.

4. Use Email for conversion-focused campaigns

Email achieved the highest conversion rate of 16.78%, while SEO had the highest CTR at 6.50%.

Recommendation: Use SEO primarily to drive traffic and engagement, while using Email to nurture leads and maximize conversions.

5. Prioritize cost-efficient audiences

Working Professionals had the lowest overall CPA at ₹674.19, followed closely by Beauty Enthusiasts at ₹676.28.

Recommendation: Prioritize these audiences for acquisition campaigns while testing ways to reduce CPA for higher-cost segments.

6. Leverage festive periods for efficiency

Festive campaigns generated 72.08% ROI, compared with 62.56% for non-festive campaigns. However, non-festive campaigns generated higher overall revenue.

Recommendation: Increase strategic investment during festive periods while maintaining non-festive campaigns for revenue scale.

7. Investigate the 2025 revenue decline

Revenue was strong in the first half of 2025 but dropped sharply from approximately ₹113.7M in June to ₹28.6M in July and remained around ₹27–31M afterward.

Recommendation: Investigate campaign spend, channel performance, targeting, and data/business changes around June–July 2025 to identify the cause.

8. Optimize budget based on ROI, not revenue alone

SEO generated the highest revenue, but Email generated a substantially higher ROI.

This shows that the highest-revenue campaign isn't necessarily the most efficient investment.

Recommendation: Allocate budgets using a combination of Revenue + ROI + CPA, rather than revenue alone.

9. Maintain a diversified audience strategy

Revenue is relatively evenly distributed across audiences, with each segment contributing around 19–20%.

Recommendation: Avoid over-dependence on a single audience and maintain diversified targeting while prioritizing segments with better CPA/ROI.